

the price of other advertiser-supported media companies that he and Burke considered attractive. From 1988 through 1992, Cap Cities purchased a total of 1,953,000 shares of stock, investing \$866 million.

In November 1993, the company announced a Dutch auction to purchase up to two million shares at prices between \$590 and \$630 per share. Berkshire participated in the auction, submitting one million of its three million shares. This act alone caused widespread speculation. Was the company unable to find an appropriate acquisition, putting itself up for sale? Was Buffett, by selling a third of his position, giving up on the company? Cap Cities denied the rumors. Opinions surfaced that Buffett would not have tendered stock that surely would have fetched a higher price if indeed the company was for sale. Cap Cities/ABC eventually purchased 1.1 million shares of stock—one million of them from Berkshire—at an average price of \$630 per share. Buffett was able to redeploy \$630 million without disrupting the marketplace for Cap Cities' shares while remaining the largest shareholder of the company, owning 13 percent of the shares outstanding.

Buffett has observed the operations and management of countless businesses over the years. But according to him, Cap Cities was the best-managed publicly owned company in the country. To prove his point, when Buffett invested in Cap Cities, he assigned all voting rights for the next 11 years to Murphy and Burke, as long as either one continued to manage the company. And if that was not enough to convince you of the high regard Buffett held for these men, consider this: "Tom Murphy and Dan Burke are not only great managers," Buffett said, "they are precisely the sort of fellows that you would want your daughter to marry."²²

The Coca-Cola Company

In the fall of 1988, Donald Keough, president of Coca-Cola, could not help but notice that someone was buying shares of the company's stock in a big way. Just a year after the 1987 stock market crash, Coca-Cola's shares were still trading 25 percent below their precrash high. But the share price had finally found a floor because "some mysterious investor was gulping down shares by the caseload." When Keough discovered that the broker who was